Brazil Macro Monthly

Expectations of rate cuts in the US reduce short-term risks

- The global economy is expected to grow below potential in 2024 amid still restrictive monetary policy. In Latin America, rate cuts will depend on the global scenario. China is expected to grow at a weaker pace, although commodity prices are likely to remain high.
- In Brazil, GDP surprised to the upside in 3Q, but confirmed the slowdown in activity. Hence, we lifted our estimate for economic growth in 2023 to 3.0%, although keeping projections of 1.5% for 2024 and 1.8% for 2025.
- Court-ordered payments and other factors will increase the public sector deficit this year to 2.5% of GDP. We believe that the debate on changing the primary balance target will still take place next year.
- After months of high volatility, the Brazilian FX has been relatively stable recently. We continue to project BRL/USD 4.90 for YE 2023. We have not changed our structural view: we forecast 4.80 for YE 2024 and 5.00 for YE 2025.
- Short-term inflation remains benign. We revised our 2023 IPCA forecast to 4.4%, reflecting recent data and cuts in fuel prices. We raised our projection for 2024 to 4.1% due to higher ICMS taxes in some states.
- We see room for the Copom to comfortably cut rates in the short run, but fiscal uncertainties and higher US long-term rates tend to limit the easing cycle. We forecast the Selic rate at 10.00% for YE 2024, and 9.00% for YE 2025.

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XP Forecasts

	2019	2020	2021	2022	2023 (F)	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	3.0	1.5	1.8
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.8	8.3	8.0
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.4	4.1	4.0
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	10.00	9.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.90	4.80	5.00
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.5	-0.8	-1.2
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.4	-0.7	-1.1
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	75.2	78.1	80.7
Trade Balance (USD Bn)	35.2	50.4	61.4	61.5	95.5	82.5	86.0
Exports (USD Bn)	221.1	209.2	280.8	334.1	337.1	350.0	366.0
Imports (USD Bn)	185.9	158.8	219.4	272.6	241.6	267.5	280.0
Current Account (USD Bn)	-68.0	-28.2	-46.4	-55.7	-35.0	-40.0	-48.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.9	-1.6	-1.7	-2.0
FDI (USD Bn)	69.2	37.8	46.4	90.6	58.0	67.5	75.0
FDI (% GDP)	3.7	2.6	2.8	4.6	2.7	2.9	3.1
Nominal GDP (USD Bi)	1,873	1,475	1,670	1,951	2,179	2,351	2,462
Nominal GDP (BRL Bi)	7,389	7,610	9,012	10,080	10,808	11,404	12,136

Source: IBGE, BCB, Bloomberg, XP

Foreword – External accounts to remain solid, fiscal accounts to remain uncertain

The Brazilian economy performed relatively well in 2023. GDP is poised to grow almost three times the initial expectations, consumer inflation fell more than expected, the BRL strengthened, and the trade surplus is reaching all-time highs. The good performance stemmed from the combination of domestic and global factors (see more in our year-ahead report here).

Looking ahead, we still see the global environment as positive for Brazil, with developed economies cutting interest rates and commodity prices remaining at current elevated levels.

On the local front, the outlook is more challenging. The primary fiscal deficit in 2023 will be almost twice as large as initially expected, spurring doubts about fiscal sustainability. Indeed, achieving the consolidation path announced by the fiscal framework seems less likely by the day.

The economy is decelerating, posing an additional risk for tax collection. Will the government be willing to cut expenditures when it becomes clear that the fiscal adjustment is in jeopardy? With economic growth losing steam? Hard to say, but possibly not.

Theoretically and empirically (in the case of Brazil), fiscal imbalances put pressure on inflation expectations. Thus, it is likely that medium-term IPCA forecasts will remain above the 3.0% target. Will the central bank be willing to slow down – and ultimately interrupt – the easing cycle if the inflation target is in jeopardy? Probably yes, even considering that pressures on the Committee tend to increase throughout the year.

Thus, despite seeing ample room for the Copom to cut rates in the short run, we forecast the easing cycle ending with the Selic rate at 10.00% – above market forecasts – by mid-next year. Political pressure tend to increase again, bringing volatility to asset prices.

Having said that, global conditions will likely be a cushion for Brazil. Despite ongoing uncertainties, commodity prices should remain elevated, and developed markets' central banks will probably change gears in monetary policy, starting a gradual easing cycle by around midyear. Thus, we see the Brazilian Real hovering around current levels, or even strengthening somewhat.

In sum, we see weaker economic growth, lower inflation, and relatively stable FX in the months to come, which should keep doors open for the Central Bank to reduce interest rates. Fiscal uncertainties, however, remain elevated and may limit policy stimulus next year. Thus, political pressure on economic policy tends to increase, bringing some market volatility. But we do not expect a deterioration in economic fundamentals or asset prices.

Global backdrop – The fight against inflation is not over and monetary policy will remain restrictive in 2024

Francisco Nobre

We now believe that the Fed is unlikely to raise rates further. Despite the partial rebound in long term US Treasury yields over the past month, financial conditions are tighter today. Also, inflation and activity data have softened recently. Thus, we think that the bar for additional hikes is getting increasingly elevated, even though it cannot be ruled out entirely. It will all depend on how the economy responds to the current level of monetary tightness and how US Treasuries react.

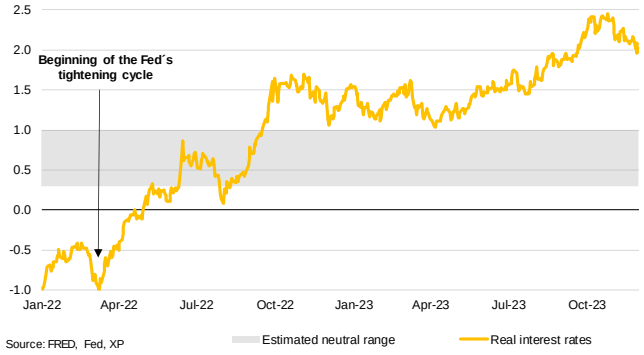
In 2024, the question shifts from "how high" to "for how long". We do not expect interest rate cuts too soon, and monetary policy should remain restrictive throughout next year. As inflation continues to ease, we expect the Fed to find space to gradually start cutting rates in 3Q24, ending the year with the upper bound of the Fed funds rate at 4.5%. We expect core PCE inflation to end 2023 at 3.3% and 2024 at around 2.5%. Risks to inflation are still tilted to the upside, and geopolitical tensions in Ukraine and the Gaza Strip may add pressure. Regarding activity, we expect GDP to grow by a timid 1.0% in 2024, after having expanded by above 2.0% in 2023. We are skeptical about the economic growth ahead, with risks skewed to the downside.

In 2024, elections will also take center stage. Amid a highly polarized political outlook in the country, expectations are of an intense and fierce competition between the major US parties, the Democrats, and the Republicans. The electoral year tends to maintain the fiscal stance expansionary, keeping uncertainty regarding the fiscal outlook elevated and asset prices volatile.

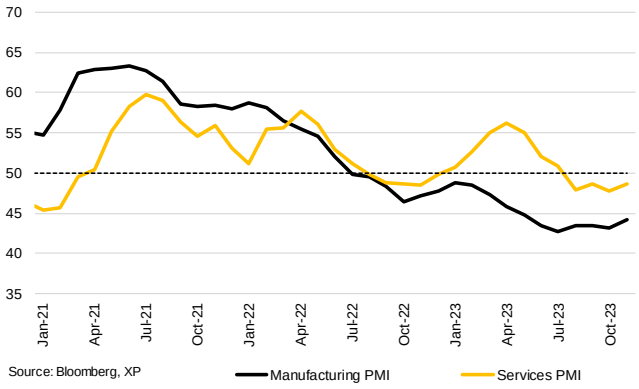
In Europe, the tradeoff between inflation and growth will be under discussion. Inflation has eased considerably, although it is still above target, while activity is losing steam. We think that the Eurozone economy will have to go through a period of material weakness in order for the disinflationary process to be complete. We expect interest rates to remain unchanged until mid-2024, after which the ECB may start a gradual easing cycle.

Weaker growth expectations in China. Aggregate data published in China throughout the year suggests that economic activity did not pick up as expected after the post-Covid reopening, even with ongoing government efforts to boost growth. GDP may still expand by around the 5%-target due to the favorable statistical carry-over effect, but

Financial conditions in the US are becoming increasingly restrictive
Real ex-ante interest rates (%): 10Y UST yield - 10Y breakeven inflation



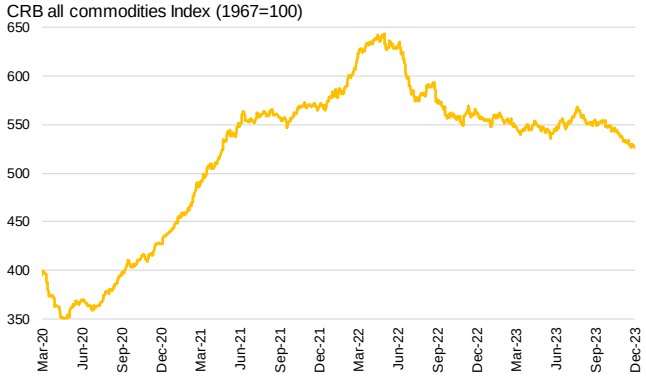
Activity indicators in contractionary territory in the Eurozone
PMI (above 50, expansion; below 50, contraction)



trends are certainly weaker. We believe that these are initial signs that China will no longer grow at the same elevated pace it did in the past two decades. As China becomes wealthier, economic growth drivers tend to shift from the property and external sectors to consumption and technology, and GDP will likely expand below 5% in the years to come.

We expect commodity prices to remain elevated. Historically, commodity prices tend to be sensitive to China´s growth momentum given its strong contribution to global demand. Even though China´s growth disappointed this year and monetary policy became increasingly tight globally, commodities continued to trade at high prices. The resilience can be explained by the ongoing replenishment of commodity stocks in China, which supports prices, as well as pressure on oil prices amid lower fuel supply from OPEC+ and global geopolitical tensions. These factors should last for a while. Thus, we expect commodity prices to remain elevated going forward, which should benefit its exporters.

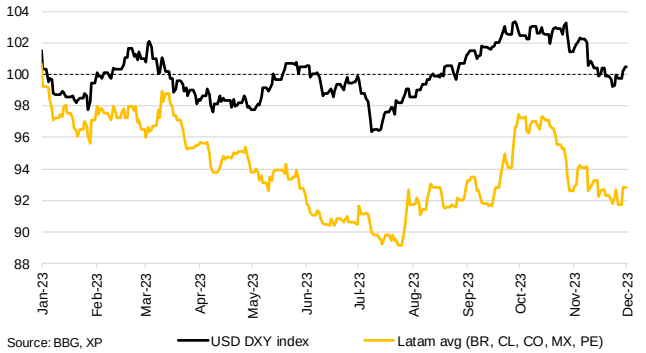
Commodity prices retreated marginally but remain at high levels
CRB all commodities Index (1967=100)



Source: Bloomberg, XP

In Latin America, we expect lower growth amid still tight monetary conditions. With monetary policy in restrictive territory, inflation is in a clear downward trend, while economies are facing cyclical adjustments to aggregate demand after having grown considerably in the past couple of years. Therefore, central banks have space to ease monetary policy. Still, inflation remains above target and local asset prices have been very sensitive to volatility in US yields, meaning that the pace and extent of interest rate cuts ahead will also depend on the global backdrop. Monetary policy is expected to remain restrictive throughout 2024, and we expect GDP to grow below potential in most countries.

Emerging currencies remain sensitive to global trends
Jan/23=100 (upward move = Latam depreciation).



Source: BBG, XP

BRAZIL – Expectations of rate cuts in the US reduce short-term risks

Activity – GDP surprised to the upside in 3Q, but confirmed economic slowdown

Rodolfo Margato

Brazil's GDP surprised to the upside in 3Q. Released earlier this week, headline GDP edged up 0.1% QoQ in 3Q, above expectations (XP: -0.2%; Consensus: -0.3%). Once again, the resilience of household consumption (on the demand side) and the services sector (on the supply side) played a major role. Furthermore, there were revisions to the data series between 2021 and mid-2023. Growth rates in agriculture & livestock and some service activities became even stronger in the first half of this year.

GDP Breakdown — XP Forecasts (%)

	2022	2023	2024	2025
Agriculture & Livestock	-1.1	16.2	-1.2	3.0
Total Industry	1.5	1.3	0.9	1.5
Total Services	4.3	2.5	1.8	1.9
Total GDP	**3.0**	**3.0**	**1.5**	**1.8**
Household Consumption	4.1	3.3	1.4	1.9
Government Consumption	2.1	1.4	1.1	1.3
Gross Fixed Capital Formation	1.1	-3.1	1.7	2.5
Exports	5.7	8.8	2.9	2.2
Imports (-)	-1.0	-1.1	1.3	2.0

Source: IBGE, XP

Accordingly, we lifted our projection for 2023 GDP growth, to 3.0% from 2.8%.

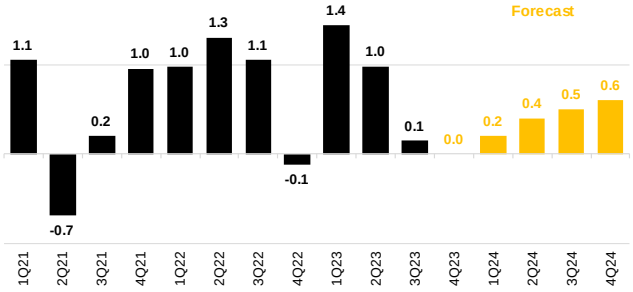
Despite the upside surprises, the latest GDP results confirmed the slowdown in economic activity. The more cyclical sectors have been losing steam amid high interest rates and indebtedness levels. For example, retail sales have been growing at a modest pace, manufacturing production has stagnated since mid-2021, and the decline in civil construction has deepened in recent months. We estimate a flattish GDP in 4Q from 3Q (an increase of 2.1% on a year-over-year basis). If our expectation proves correct, the statistical carry-over effect for 2024 GDP growth will be a timid 0.3%.

Our projection for 2024 GDP growth remains at 1.5%. Since the release of our last monthly report, we have seen mixed signals regarding the outlook for economic growth next year. On the one hand, the bullish surprise from 3Q GDP results, as well as the solution for court-ordered payments (see section of Fiscal Accounts), which could add 0.2pp to total GDP growth according to our calculations. On the other hand, the first estimates for agricultural production in 2024 suggest a decline compared to 2023, although remaining at historically high levels. Our updated forecast for agriculture & livestock GDP considers a 1.2% drop next year (prior: 1.0% gain).

The labor market remains solid, despite moderation in many indicators. The outlook of more moderate economic growth next year considers the: (i) dissipation of positive shock in agriculture; (ii) cooling of global economic activity; and (iii) lower fiscal impulse, although the expansionary bias persists. The labor market remains a supporting factor, but job creation and wage increases tend to lose strength going forward. We believe that the unemployment rate will rise from 7.8% YE 2023 to 8.3% YE 2024 (seasonally adjusted estimates), while the expansion in real household disposable income is expected to ease to approximately 3.5% from 6.0%. In turn, the main credit market indicators should gradually improve throughout 2024, in line with the loosening of monetary policy.

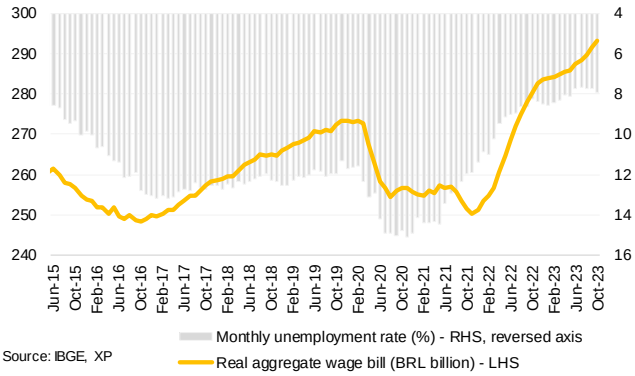
We forecast that GDP will rise by 1.8% in 2025, a growth rate close to potential. The decline in interest rates combined with the recovery expected for the global economy should lead GDP to grow somewhat more in 2025 compared to 2024.

Brazil GDP is expected to gradually recover throughout 2024
QoQsa (%)



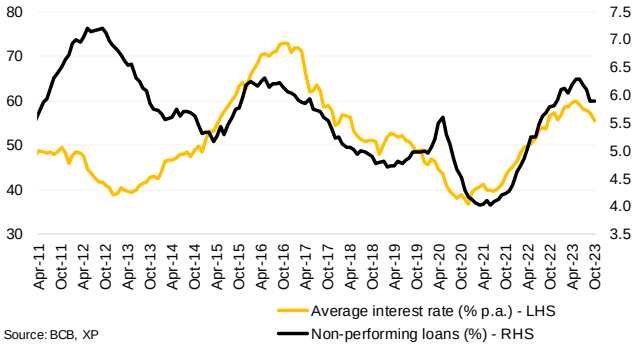
Source: IBGE, XP

Labor market upheld household consumption in 2023
Seasonally adjusted data series



Source: IBGE, XP

Interest rates and non-performing loans have peaked
Credit concessions for individuals, non-earmarked resources



Source: BCB, XP

Public finance – Deficit increases this year; the maintenance of the 2024 target remains uncertain

Tiago Sbardelotto

The recent improvement is not enough to reverse the trend. In October, federal revenue grew 0.1% YoY after five months of decline. This largely reflected the revenue-raising measures taken by the government, as well as non-recurring events. As a result, the central government recorded a surplus of BRL 18.3 billion, while the public sector had a surplus of BRL 14.8 bn. Despite the better performance, public accounts should continue to deteriorate in the short term.

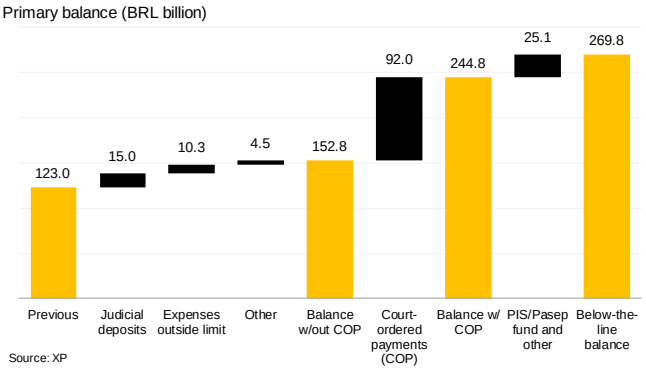
The 2023 deficit estimate has increased considerably. Our estimate last month was for a primary deficit of BRL 123 billion (1.2%). Since then: 1) the government postponed to 2024 the inflow of BRL 15 billion related to judicial deposits in favor of the Union at Caixa Econômica Federal (CEF); 2) expenses related to minimum spending on health and high school programs increased by BRL 10.3 billion outside the limit; and 3) we updated macroeconomic parameters and incorporated the recent results, which reduced revenue by BRL 4.5 billion. These factors alone would already raise the expected deficit to BRL 152.8 billion (1.4% of GDP).

The primary deficit should reach 2.5% of GDP with the settlement of court-ordered debts. The Supreme Court allowed the government to pay off unpaid court-ordered debts from 2022 to 2024, as well as the amount that exceeds the court-ordered debt limit in 2025 and 2026, outside the restrictions imposed by the spending limit and primary result target. We believe that the accumulated liabilities will be paid later this year, leading to a worsening in the primary balance. Considering that the appropriation of funds from the PIS/Pasep fund (BRL 26 billion) **was not included in the Central Bank's statistics, we expect a deficit of BRL 274.5 billion (2.5% of GDP) in the below-the-line result.**

The 2024 result improves slightly... With the change in the inflow of funds from CEF's judicial deposits from next year, there was a slight improvement at the margin, partially offset by the drop in the 2023 collection base. As a result, **we have revised our deficit for 2024 from BRL 102.0 billion (0.9% of GDP) to BRL 91.6 billion (0.8% of GDP).**

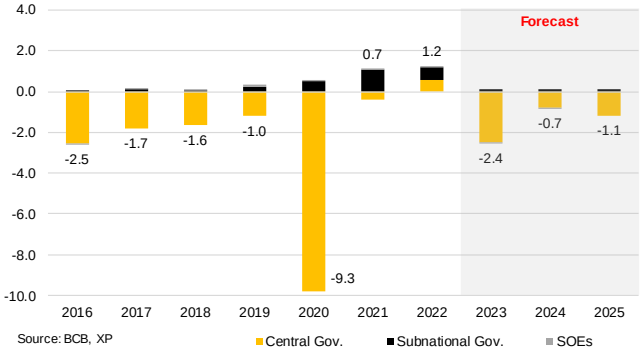
...But the deficit will rise again in 2025. Our previous forecast was for a deficit of BRL 105.2 billion (0.9% of GDP). However, with the drop in the revenue base for 2023 (and 2024) and the settlement, via extraordinary credit, of the amount of court-ordered debt that exceeds the annual

Court-ordered payments (COP) and additional expenses raise the deficit in 2023
Primary balance (BRL billion)



Source: XP

Central government results maintain the public sector deficit
Primary balance (% of GDP)



Source: BCB, XP

limit, **we now expect a deficit of BRL 144.1 billion (1.2% of GDP).**

The consolidated public sector (including states, municipalities, and state-owned companies) should have a deficit driven by the central government. We foresee weaker results from states and municipalities over the next few years due to lower ICMS collections and a drop in transfers from the federal government. As a result, we project that the public sector will reach deficits of BRL 266.7 billion (2.5% of GDP) in 2023, BRL 84.5 billion in 2024 (0.7% of GDP) and BRL 130.2 billion (1.1% of GDP) in 2025.

We still believe that the 2024 primary balance target will be changed. Contrary to what the government stated, we believe the minimum spending growth of 0.6% above inflation applies only to budgeted expenditures. As such, in the execution phase, the freezing limit established by the new fiscal framework is 25% of discretionary spending (BRL 53 billion). Thus, we foresee that the government will still try to change the primary balance target in 2024 so as not to incur the punishments of the new fiscal framework, especially in reducing the expenditure growth in 2026 – a presidential election year.

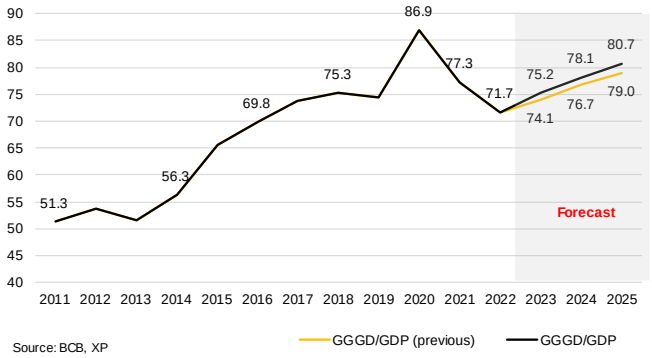
Public debt rises more in the short term and less in the long term. The settlement of overdue court-order debt anticipates a liability that would only be included in fiscal statistics in 2027. Due mainly (but not exclusively) to this effect, we estimate that the general government gross debt (GGGD) will reach 75.3% in 2023 (74.1% before), 78.1% in 2024 (76.7% before) and 80.7% in 2025 (79.0% before). Despite the negative impact in the short term, we should point out that there is a slight improvement in the long term due to the anticipation of payments. In any case, public debt as a proportion of GDP does not stabilize over the analysis horizon.

Measures included in budget bill and our scenario — Gross revenue (BRL billion)

Measure	Gov. (2024 budget bill)	XP scenario
ICMS subsides for investments	35.3	32.1
Online betting	1.6	2.0
Simplified regime on imports	2.9	2.0
Exclusive funds taxation	13.3	9.4
Taxation of investiments abroad	7.0	7.0
End interest on capital (IOC)	10.4	0.0
Tax credits recovery on CARF	54.7	30.0
Tax transaction	43.2	0.0
Review of railway concession contracts	34.5	2.0
Transfer pricing	0.0	11.7
CEF judicial deposits	0.0	15.0
Total	**125.3**	**82.6**

Source: PLOA 2024, XP

Court-ordered debts and other factors are expected to increase public debt
General Government Gross Debt (% of GDP)



Source: BCB, XP

External Accounts – Lower exchange rate volatility and solid external accounts

Rodolfo Margato

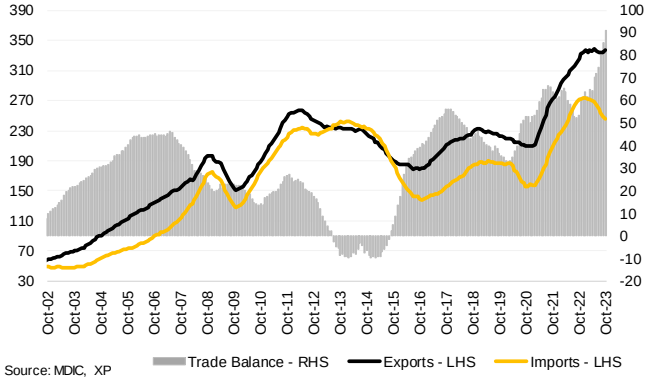
Relatively stable BRL in recent weeks. After months of high volatility, mainly due to stressed US Treasury rates, the Brazilian exchange rate was traded between BRL/USD 4.85 and BRL/USD 4.95 in the last four weeks. The weakening of the US dollar and the maintenance of elevated commodity prices help explain the recent dynamics. Hence, we continue to project BRL/USD 4.90 for YE 2023.

We have not changed our structural view, which considers room for moderate FX appreciation. The so-called economic fundamentals suggest that the structural exchange rate ("fair value") in Brazil would be between BRL/USD 4.50 and BRL/USD 5.00. Favorable terms of trade and the robust balance of payments play an important role in this assessment. That said, high uncertainties both on the international environment – especially regarding the conduct of monetary policy in developed economies and geopolitical tensions – and on the domestic fiscal front could again increase volatility in the coming months. In all, we forecast BRL/USD 4.80 for YE 2024 and BRL/USD 5.00 for YE 2025.

Record trade balance and a significant drop in the current account deficit. We anticipate a trade surplus of USD 95.5 billion in 2023 (4.4% of GDP), well above the USD 61.5 billion recorded in 2022 (3.2% of GDP). The all-time high figures stem from the strong expansion in exports, mainly of primary goods, combined with the decline in imports, given global cost deflation and the stagnation of local industry. As a result, the current account deficit remains on a falling path: we forecast -USD 35.0 billion this year (-1.6% of GDP) after -USD 55.7 billion last year (-2.9% of GDP). Looking ahead, we expect the current account deficit to widen moderately, reaching -USD 40.0 billion in 2024 (-1.7% of GDP) and -USD 48.0 billion in 2025 (-2.0% of GDP). Our projections are still considerably below the historical average of around -3.0% of GDP.

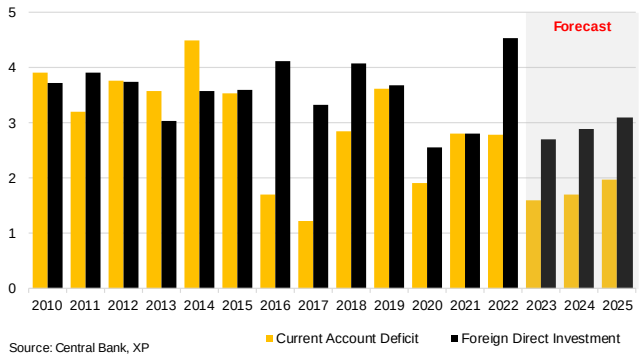
Net inflows in FDI disappointed in 2023, but we foresee a gradual recovery going forward. Net inflows in FDI (Foreign Direct Investment) were below expectations throughout this year, owing to the weakening of economic activity and the lower corporate profitability, both in Brazil and abroad. We estimate net inflows of USD 58.0 billion in 2023 (2.7% of GDP) after a peak of USD 90.6 billion in 2022 (4.6% of GDP). FDI is expected to gradually recover in the coming years, reaching USD 67.5 billion in 2024 (2.9% of GDP) and USD 75.0 billion in 2025 (3.1% of GDP).

Record trade balance in 2023, driven by exports of primary goods and tumbling imports
12-month acc. (USD billion)



Source: MDIC, XP

Current account deficit reaches its lowest level since 2017
(% of GDP)



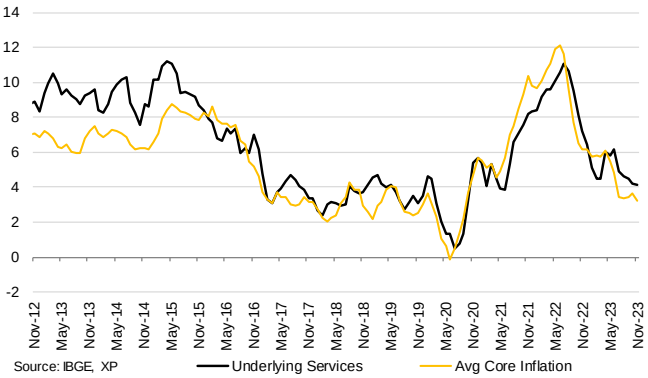
Source: Central Bank, XP

Inflation – Short term remains favorable and medium term still unanchored

Alexandre Maluf

Underlying metrics still present favorable dynamics. October's IPCA and November's IPCA-15 data brought additional good news to the services disinflation dynamics. In the case of the latter, we saw the fifth consecutive monthly drop in the 3M SAAR metric. According to our model, it cooled down to 4.1%, well below the peak of 6.2% in June. Accordingly, the same metric for the average core

Underlying services and core inflation converge to target
SAAR 3M (%)



Source: IBGE, XP

index fell from 3.6% to 3.2%, matching this year's inflation target (3.25%). We estimate two benign readings in November and December below the upper bound of the inflation target (4.75%) for the first time since 2020.

We have lowered our projection for 2023 to 4.4% from 4.5%... We have incorporated the recent improvement in inflation readings and, above all, a 5% reduction in gasoline prices and the recent cut in diesel oil prices by Petrobras – announced on December 7th.

...and we raised the 2024 IPCA to 4.1% from 3.9%. Although the downward effect of fuel prices will spill over into next year, we have adjusted our assumption for 'student fees' upwards, given the news that tuition fees will be increased by around 9%. In addition, we have incorporated the risk of an upward surprise in the value of the CDE (Energy Development Account, acronym in Portuguese), with an approximate impact of 0.6% on energy bills. Finally, we added an upward effect (of around 0.1pp) on industrial goods, food, electricity, and telecommunications, following the announcement that six states intend to raise their taxes to 19.5% - we did not include the state of São Paulo, as the discussion should be extended until 2024 so that a possible readjustment would only take effect from 2025.

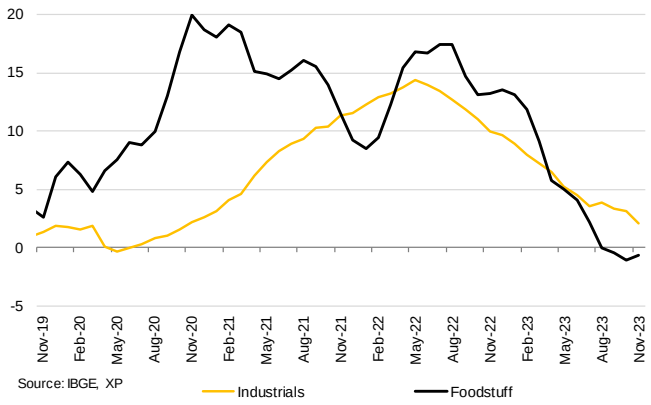
Annual change (%) XP Forecasts

IPCA Groups	2023		2024	
	Prior	Current	Prior	Current
Monitored prices	9.1	8.9	4.3	4.1
Market-set prices	2.9	2.9	3.7	4.1
Food at home	-0.8	-0.8	4.0	4.6
Industrials	1.2	1.1	2.7	2.8
Services	5.8	5.9	4.2	4.7
IPCA headline	**4.5**	**4.4**	**3.9**	**4.1**

Source: IBGE, XP

In addition, recent climatic events have been intense. Although the climate maps have shown some improvement, we have calibrated our forecast for food at home from 3.9% to 4.6% next year, incorporating upward effects on fresh food, although at a much lower level than those seen in 2015 and 2016. However, we remain optimistic about the low prices of grains and proteins, given the high inventories and expectations of robust harvests.

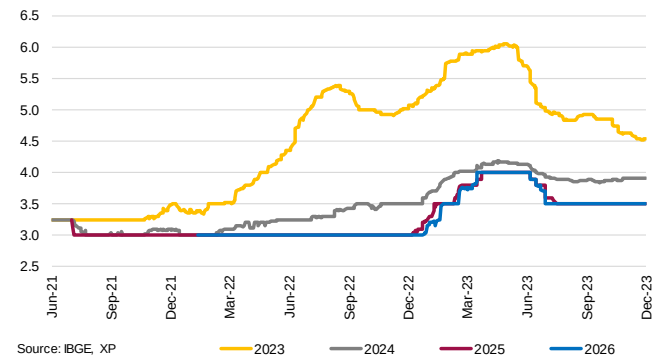
Goods inflation is not a concern in the short term
12M (%)



Source: IBGE, XP

Mapped risks in monitored prices for 2024. On the disinflationary side, São Paulo City legislative power is considering eliminating the tariff of public bus transport on Sundays, while Rio de Janeiro intends to make buses 100% subsided. If both proposals are approved next year, the impact on the IPCA should be -0.3pp, a significant drop. Also, the possibility of the federal government allocating resources from the privatization of Eletrobras to bring forward costs from the 'Covid Account' to the electricity sector and to dilute CDE costs with the free energy market, could generate a further 0.2pp drop in the IPCA. On the inflationary side, there is the possibility of an increase in the Itaipu powerplant tariff, which would raise electricity bills for consumers in the center-south of the country.

Medium term inflation expectations remain above the central target (3%)
12M (%)



Source: IBGE, XP

IPCA above target in the medium term. As we have published in recent reports, we project an IPCA of 4.0% in 2025, above the target of 3.0%. Unanchored inflation expectations due to a challenging fiscal scenario, and the

reversal of some inflation categories towards the historical average will weigh on future inflation. Therefore, a convergence of the real interest rate to neutrality is unlikely to happen in the short term.

Monetary Policy – Reinforced view: positive in the short term; risks further ahead

Caio Megale

Recent developments reinforced the view for Brazilian monetary policy that we have been defending for a while: comfortable room for easing in the short term, and limitations over 2024.

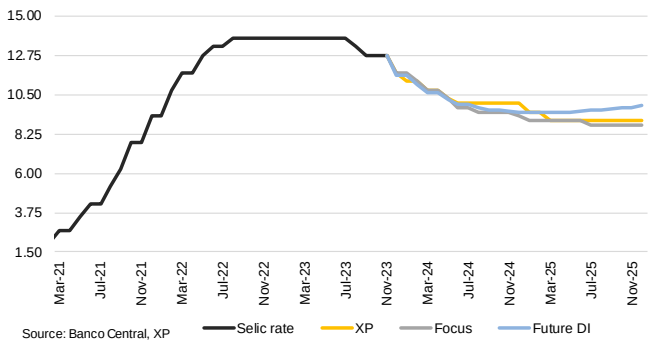
Inflation and growth are heading south. Consumer price inflation has been falling gradually but consistently, for both supply and demand reasons. Economic activity is losing steam, reinforcing the disinflationary trend ahead. Considering that monetary policy is still quite restrictive with the Selic rate at 12.25%, we see no reason for the Copom to consider reducing the pace of interest rate cuts, let alone interrupting the easing cycle anytime soon.

Fiscal policy expansionary bias reinforced. News flow on the fiscal front suggested an effort to increase spending through new government programs or to reduce the enforcement on cutting expenses if the fiscal target is at risk. The government is also facing headwinds in Congress to approve the proposed measures to boost revenues. Those signals reinforce the uncertainty about the sustainability of fiscal accounts.

We believe fiscal imbalances will eventually add pressure to inflation expectations. According to central bank's Focus Survey, inflation forecasts for 2025 are already above the 3.0% target. It may drift further away from the target path next year (our IPCA forecast for 2025 stands at 4.0%).

All in all, we believe the Copom will continue to cut the Selic rate by 50 bps per meeting in the months to come. Next year, when 2025 becomes the most important year in the relevant horizon, we believe the committee will opt to reduce the pace to 25 pbs and **interrupt the easing cycle with the Selic rate at 10.00%,** above market consensus forecast.

Central Bank to keep cutting rates gradually
(%)



Source: Banco Central, XP

XP Forecasts	2019	2020	2021	2022	2023 (F)	2024 (F)	2025 (F)
GDP growth (%)	1.2	-3.3	4.8	3.0	3.0	1.5	1.8
Unemployment rate (% s.a., end of period)	11.5	14.7	11.7	8.3	7.8	8.3	8.0
IPCA (CPI, %)	4.3	4.5	10.1	5.8	4.4	4.1	4.0
SELIC rate (% p.a., end of period)	4.50	2.00	9.25	13.75	11.75	10.00	9.00
FX (USDBRL, end of period)	4.03	5.20	5.58	5.28	4.90	4.80	5.00
Central government primary balance (% GDP)	-1.2	-9.8	-0.4	0.5	-2.5	-0.8	-1.2
Public sector primary balance (% GDP)	-0.8	-9.2	0.7	1.2	-2.4	-0.7	-1.1
Public sector gross debt (% GDP)	74.4	86.9	77.3	71.7	75.2	78.1	80.7
Trade Balance (USD Bn)	35.2	50.4	61.4	61.5	95.5	82.5	86.0
Exports (USD Bn)	221.1	209.2	280.8	334.1	337.1	350.0	366.0
Imports (USD Bn)	185.9	158.8	219.4	272.6	241.6	267.5	280.0
Current Account (USD Bn)	-68.0	-28.2	-46.4	-55.7	-35.0	-40.0	-48.0
Current Account (% GDP)	-3.6	-1.9	-2.8	-2.9	-1.6	-1.7	-2.0
FDI (USD Bn)	69.2	37.8	46.4	90.6	58.0	67.5	75.0
FDI (% GDP)	3.7	2.6	2.8	4.6	2.7	2.9	3.1
Nominal GDP (USD Bi)	1,873	1,475	1,670	1,951	2,179	2,351	2,462
Nominal GDP (BRL Bi)	7,389	7,610	9,012	10,080	10,808	11,404	12,136

Source: IBGE, BCB, Bloomberg, XP

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